



Sovereign Ratings vs. Reality: India's Case for a Higher Rating

June 18, 2026

A cross-country comparison based on [latest IMF data](#) reveals important insights into India's fiscal position and sovereign rating relative to global peers. Advanced economies such as Japan, Italy, the United States, France and the United Kingdom continue to carry substantially higher public debt burdens—ranging from around 100% to over 200% of GDP—yet maintain significantly stronger sovereign ratings. In contrast, India's public debt ratio, is lower relative to these economies. This divergence suggests that sovereign ratings are influenced by a broader set of factors beyond debt levels alone, and that India's rating appears conservative when viewed purely through the lens of debt metrics.

India's macroeconomic fundamentals remain robust, characterized by sustained growth outperformance, anchored inflation, positive real interest rates, and a sound financial system. **Debt sustainability analysis** indicates that public debt is likely to follow a declining trajectory, supported by a favorable growth-interest rate differential.

India's sovereign credit profile reflects a combination of improving fiscal dynamics, strong growth prospects, and a resilient debt structure. While short-term fiscal deficits remain relatively high, medium-term consolidation, stable debt dynamics, and structural strengths suggest a stronger underlying credit position than implied by current ratings. **On balance, there appears to be a credible case for a reassessment of India's sovereign rating toward the upper end of the BBB range, particularly if fiscal consolidation continues broadly as envisaged.**

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Sovereign Ratings vs. Reality: India's Case for a Higher Rating

Introduction

The pandemic in 2020 had a severe impact on the deficit and debt dynamics of almost all countries in the world, though in varying degrees. India was also severely impacted, with the general government deficit and debt rising sharply in the immediate aftermath of the pandemic, which was unavoidable. Since then, thanks to the strong resolve of the authorities, significant improvement has been achieved on the fiscal front, culminating first in a [ratings outlook upgrade](#) to positive from stable by S&P Global Ratings on 29 May 2024 and then a subsequent [sovereign ratings upgrade to BBB from BBB-](#) on 14th August 2025 after a gap of 18 long years.

Fiscal consolidation has gathered significant momentum in the last few years, thanks to robust growth, fiscal marksmanship and particular focus on improving the quality of fiscal spending. Indeed, both the interim budget in Feb 2024 and the post-elections union budget in July 2024 [exceeded expectations](#) as regards to the fiscal deficit target, which is praiseworthy. The FY26 Union Budget also saw the central government announcing a further moderation in the fiscal deficit target to 4.4% of GDP, vs. a revised estimate outturn of 4.84% of GDP in FY25, which was finally met, despite concerns related to higher tariffs imposed by USA in 2025, a lower-than-expected nominal GDP growth profile and revenue uncertainty due to GST rates rationalisation.

Amidst ongoing concerns related to tariff uncertainty in the beginning of this year and in the backdrop of heightened geopolitical tensions, the government presented the Union Budget for FY27 on 1st February 2026. Striking a delicate balance between the dual objectives of supporting growth and employment, while remaining on the path of fiscal consolidation, the budget set a fiscal-deficit target of 4.3% of GDP for FY27, with the authorities reemphasizing the medium-term fiscal goal of reducing the centre's debt/GDP ratio to the pre-pandemic level of 50% by FY31, while setting the FY27 target at 55.6% of GDP.

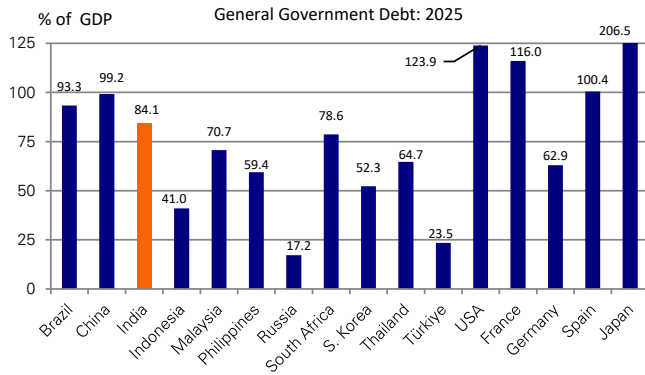
Indian sovereign ratings relative to rest of the world

In the following pages, we present a series of charts and tables using [latest IMF data](#) for major advanced and emerging economies (including India) covering six key dimensions:

1. General government debt as a % of GDP;
2. General government budget deficit as a % of GDP;
3. Expected change in debt and deficit between 2025 and 2031 based on IMF's forecasts;
4. Ranking of each of these economies by their size (2025 data; nominal GDP in USD trn terms);
5. Sovereign credit ratings assigned by S&P, Moody's and Fitch;
6. We also provide a table which show the IMF's interpretation of credit rating scale of major credit rating agencies.

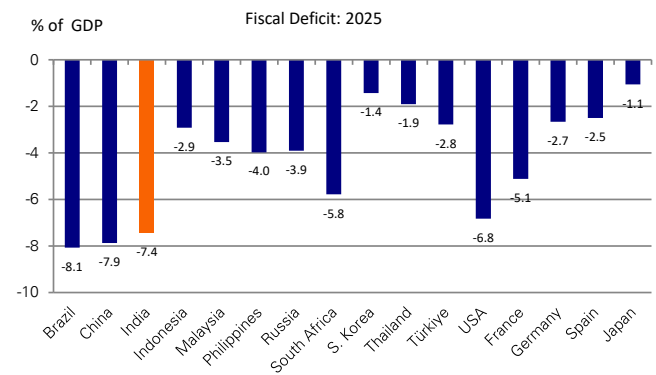


Figure 1: General Government Debt: 2025



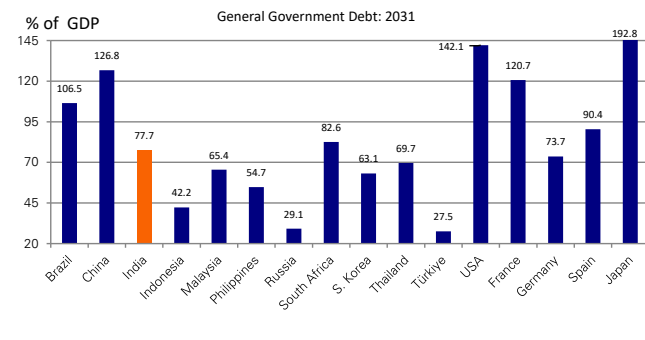
Source : IMF: World Economic Outlook Database, April 2026

Figure 2: General Government Deficit: 2025



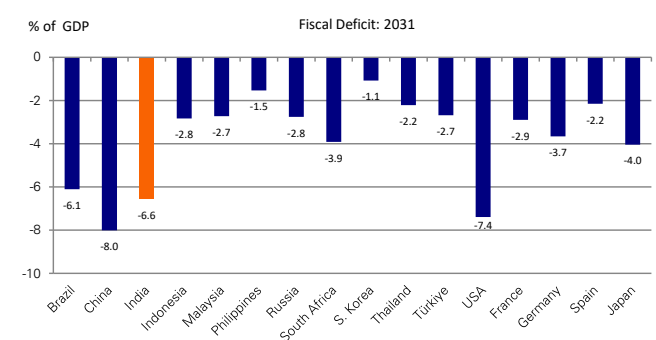
Source : IMF: World Economic Outlook Database, April 2026

Figure 3: General Government Debt: 2031 F



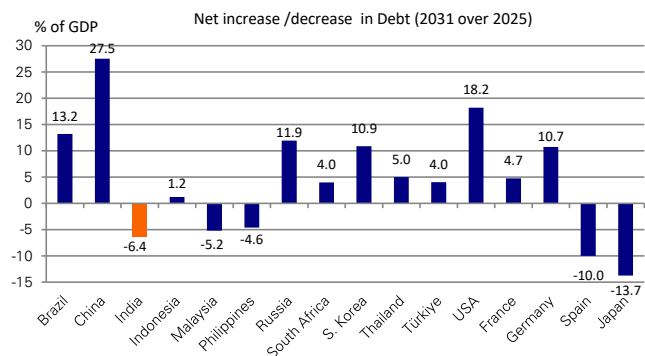
Source : IMF: World Economic Outlook Database, April 2026

Figure 4: General Government Deficit: 2031 F



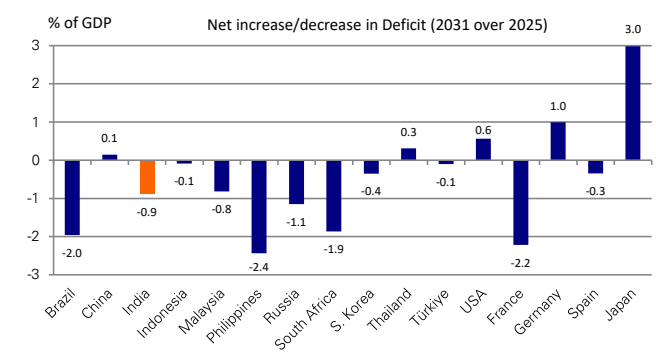
Source : IMF: World Economic Outlook Database, April 2026

Figure 5: Net change in Debt: 2031 over 2025



Source : IMF: World Economic Outlook Database, April 2026

Figure 6: Net change in Deficit: 2031 over 2025



Source : IMF: World Economic Outlook Database, April 2026



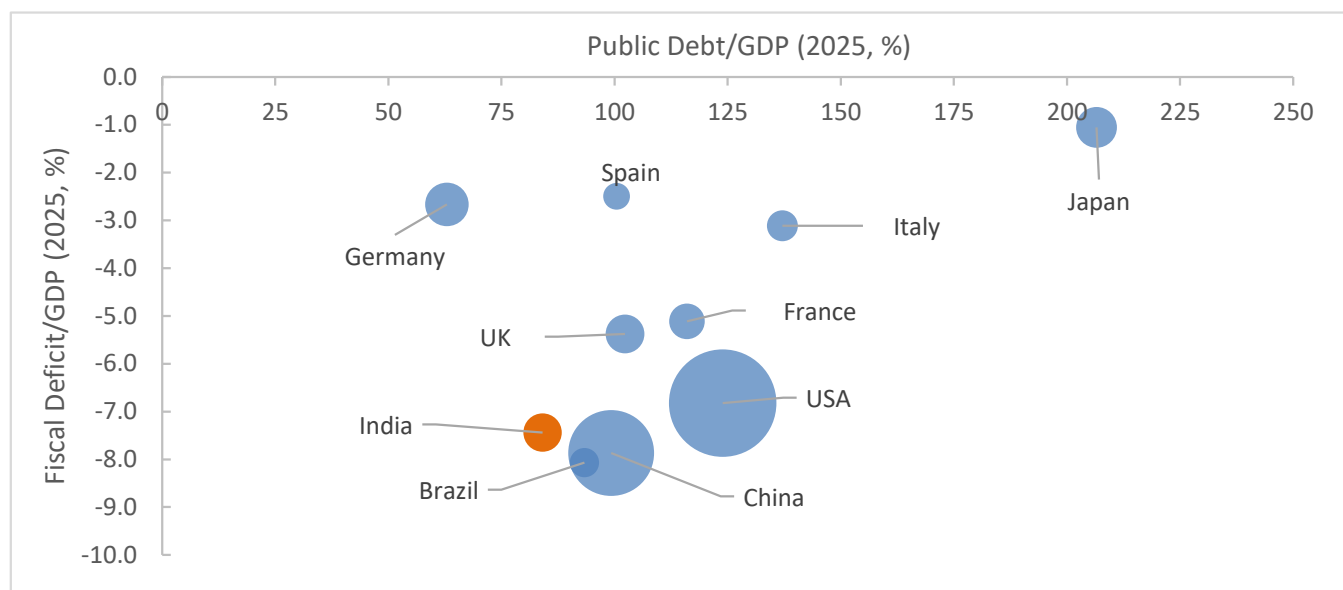
India's sovereign credit ratings, debt and deficit profile and economic size relative to other economies - a summary

Figure 7: Debt, deficit and creditworthiness - advanced and emerging economies

	Country	Nominal GDP USD trn, 2025	Rank By size	Public debt/GDP 2025	Fiscal deficit/GDP 2025	Credit Rating		
						S&P	Moody's	Fitch
1	USA	30.8	1	123.9	-6.8	AA+	Aa1	AA+
2	China	19.6	2	99.2	-7.9	A+	A1	A
3	Germany	5.0	3	62.9	-2.7	AAA	Aaa	AAA
4	Japan	4.4	4	206.5	-1.1	A+	A1	A
5	UK	4.0	5	102.3	-5.4	AA	Aa3	AA-
6	India	3.9	6	84.1	-7.4	BBB	Baa3	BBB-
7	France	3.4	7	116.0	-5.1	A+	Aa3	A+
8	Italy	2.6	8	137.1	-3.1	BBB+	Baa2	BBB+
9	Brazil	2.3	10	93.3	-8.1	BB	Ba1	BB
10	Spain	1.9	11	100.4	-2.5	A+	A3	A
11	S. Korea	1.9	12	52.3	-5.8	AA	Aa2	AA-
12	Turkiye	1.6	15	23.5	-2.8	BB-	B1	BB-
13	Indonesia	1.4	16	41.0	-2.9	BBB	Baa2	BBB
14	Thailand	0.6	29	64.7	-1.9	BBB+	Baa1	BBB+
15	Philippines	0.5	33	59.4	-4.0	BBB+	Baa2	BBB
16	Malaysia	0.5	34	70.7	-3.5	A-	A3	BBB+
17	South Africa	0.4	40	78.6	-5.8	BB	Ba2	BB-

Source : IMF: World Economic Outlook Database, April 2026, S&P, Moody's and Fitch

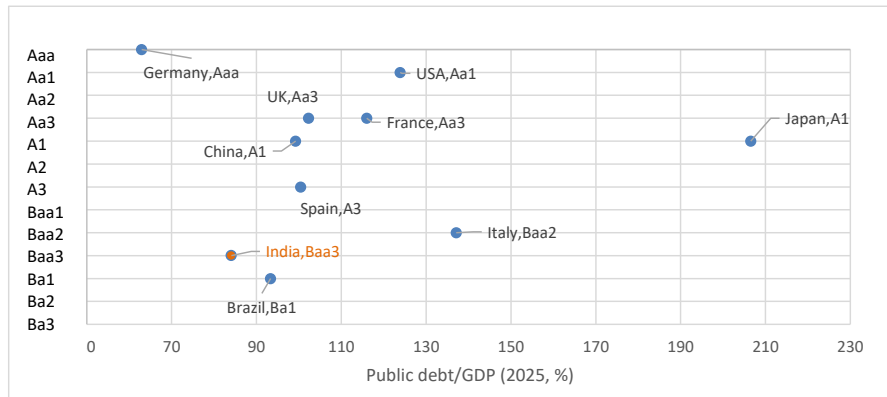
Figure 8: Debt, deficit and GDP size across major economies (2025)



Source : IMF, S&P, Moody's and Fitch. Note: Bubble size = Nominal GDP

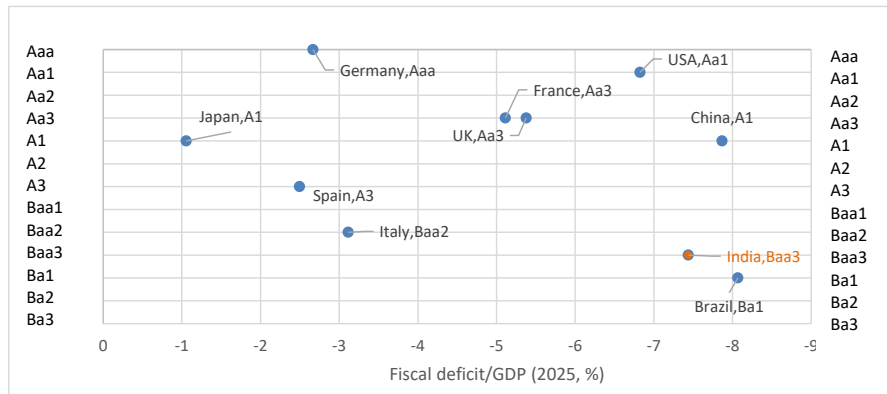


Figure 9: Debt/GDP vs. Moody's credit ratings across major economies (2025)



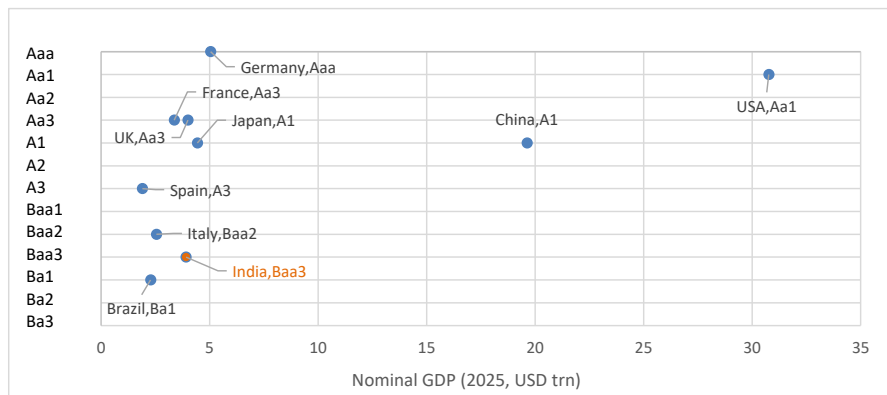
Source : IMF, Moody's

Figure 10: Deficit/GDP vs. Moody's credit ratings across major economies (2025)



Source : IMF, Moody's

Figure 11: Nominal GDP vs. Moody's credit ratings across major economies (2025)



Source : IMF, Moody's



Figure 12: IMF's interpretation of credit rating scale of some major credit rating agencies

Interpretation	Fitch and S&P	Moody's
Highest quality	AAA	Aaa
High quality	AA+	Aa1
	AA	Aa2
	AA–	Aa3
Strong payment capacity	A+	A1
	A	A2
	A–	A3
Adequate payment capacity	BBB+	Baa1
	BBB	Baa2
	BBB–	Baa3
Likely to fulfill obligations, on going uncertainty	BB+	Ba1
	BB	Ba2
	BB–	Ba3
High-risk obligations	B+	B1
	B	B2
	B–	B3
Vulnerable to default	CCC+	Caa1
	CCC	Caa2
	CCC–	Caa3
Near or in bankruptcy or default	CC	Ca
	C	C
	D	D

Source : Economic Survey 2020-21 Volume 1, [IMF: 2010: The Uses and Abuses of Sovereign Credit Ratings](#)



Observations

* **Do India's current sovereign ratings adequately reflect its economic fundamentals?** India appears fiscally stronger than several countries that enjoy significantly higher sovereign ratings, particularly when debt levels, economic growth prospects and future fiscal trends are considered together. While India still runs a relatively large fiscal deficit, its debt burden is moderate and is expected to improve over time. This raises a legitimate question as to whether India's current sovereign ratings fully reflect its economic fundamentals and growth potential.

* **Public debt/GDP and sovereign ratings:** The 2025 IMF data show a wide heterogeneity among countries. The highest debt/GDP ratios are observed in the case of Japan (206%), Italy (137%), USA (124%), France (116%), and UK (103%). These countries have accumulated substantial public debt over many years due to aging population dynamics, welfare commitments, financial crises and pandemic-related spending. Despite these elevated debt levels, they continue to enjoy substantially higher sovereign ratings compared to India. As per the IMF's data, India's public debt/GDP and general government budget deficit stood at 84% and 7.4% respectively. Only Germany and some emerging economies have materially lower debt levels compared to India.

* **General government deficit/GDP and sovereign ratings:** India's general government budget deficit remains elevated at around 7.4% of GDP, which is on the higher spectrum of the economies considered in our analysis. However, the IMF's projections till 2031 factor in a meaningful consolidation of India's deficit (from 7.4% of GDP in 2025 to 6.6% of GDP by 2031) and public debt (from 84.1% of GDP in 2025 to 77.7% of GDP by 2031) by the end of this decade. The improvement suggests i) continued economic growth (10.8% average nominal GDP growth between 2026-2031); ii) rising tax revenues; and iii) better fiscal and expenditure discipline. **Indeed, India's debt trajectory appears more favorable than that of several major economies, where debt ratios are projected to increase further in the coming years.**

* **Size of the economy and sovereign ratings:** As far as size of the economy is concerned, **India is currently the 6th-largest economy, comparable to the UK and larger than France, and slated to become the third largest before the end of this decade, as per our and IMF forecasts.** Yet, India's sovereign ratings currently remain at the lowest investment grade (Moody's and Fitch). Therefore, on the basis of the size of the economy, India appears underrated, in our view.

* **Funding of the public debt and sovereign ratings:** In this respect, it is instructive, in our view, to reflect on the IMF's interpretation of credit rating scale of major credit rating agencies. As per Fitch/S&P scale, A range (A+, A, A-) signifies "Strong payment capacity", while BBB range (BBB+, BBB, BBB-) reflects "Adequate payment capacity" and BB range and below highlight increasing uncertainty and risk, as per the IMF's interpretation. India currently sits at BBB as per S&P, while ranked at the lowest level of investment grade by Fitch (BBB-) and Moody's (Baa3). That places India at the lowest rung of "adequate payment capacity".

In our view, **there is little risk associated with the funding of the public debt** as bulk of India's debt is in domestic currency. Indeed, foreign currency denominated debt is small - less than 5% of GDP - and even within that, more than half of it is owed to multilateral institutions. A country, like India, with mostly domestic currency debt, does not face currency mismatch risk (unlike EM crisis cases), can rely on its



domestic financial system to absorb debt, has more monetary flexibility (central bank support) and is less exposed to external funding crises. **These are typically characteristics associated with higher creditworthiness (often A-category countries).**

India, in our view, shows traits consistent with “strong payment capacity”, being a large, diversified domestic economy (#6 globally; on its way to become #3 before the end of this decade); holding predominantly local-currency debt; deep and growing domestic financial market; limited external vulnerability compared to many EM peers. These characteristics align more closely with “A category” descriptors than the BBB range in our view. While S&P upgraded India's sovereign ratings one notch higher to BBB, from BBB- in August 2025, both Fitch (BBB-) and Moody's (Baa3) have kept India's sovereign ratings at the lowest level of investment grade.

Even if the rating agencies do not provide India with an A-category sovereign rating, reflecting "Strong payment capacity", due to lower-per-capita income relative to peers, **there could be merit to at least consider upgrading India to the upper rung of the "Adequate payment capacity" (BBB+ for S&P and Fitch) and Baa1 for Moody's, which will require one more rating upgrade by S&P and a double-notch ratings upgrade by Fitch and Moody's, in our view.**

Figure 13: India's sovereign credit rating (1998 -2024)

Date	S&P	Moody's	Fitch
June 1998		Ba2*	
October 1998	BB*		
March 2000			BB+*
November 2001			BB*
February 2003		Ba1*	
January 2004			BB+*
January 2004		Baa3	
February 2005	BB+*		
August 2006			BBB-
January 2007	BBB-		
November 2017		Baa2	
June 2020		Baa3	

*Speculative Grade; **Green highlights ratings upgrade**; **Red highlights ratings downgrade**, Black indicates first rating

Source : Economic Survey 2020-21 Volume 1, Compiled from S&P Global, Fitch and Moody's



A debt sustainability exercise for India

Next, we undertake a debt sustainability exercise for India, to ascertain whether the forecasted debt consolidation path has changed materially on account of the current oil-price shock. In our view, this is useful for providing a reference point of the progress that is likely under the baseline scenario. Then, using this reference point, we calculate the upside and downside risks, based on various scenarios. This assumes particular importance, as Government of [India's medium-term fiscal roadmap](#) is now aimed towards achieving a sustained debt consolidation path by the end of this decade, but without pre-committing explicitly to any fiscal deficit target. **As per the plan, the centre aims to reduce its debt/GDP ratio to the pre-pandemic level of 50% by FY31, from about 55.6% currently.**

Fiscal snapshot at the general government level

The two tables below summarize the fiscal performance at the general government level pre- and post-Covid. General government budget and primary deficits were on a path of consolidation until FY19, while interest payments remained broadly sticky at around 4.8% of GDP. The Covid-19 pandemic impacted the fiscal and debt position severely, with **general government deficit rising to 13.1% of GDP by FY21, from 5.8% of GDP in FY19.** This is despite the central government being extremely prudent with its targeted expenditure support for the absolutely vulnerable and middle-class section of the population. Interest payments as a % of GDP increased to 5.4% of GDP by FY21, from 4.8% of GDP in FY19, while **general government debt increased to 88% of GDP in FY21, from about 70% in FY19.**

Figure 14: General Government fiscal snapshot

% of GDP	FY20	FY21	FY22	FY23	FY24	FY25	FY26	FY27F
Revenue	20.7	19.8	21.6	22.2	22.5	22.5	22.6	22.7
Expenditure	27.9	32.9	32.0	31.2	30.9	30.0	29.9	30.0
Interest payment	4.8	5.4	5.3	5.2	5.3	5.2	5.3	5.2
General government deficit	7.2	13.1	10.3	9.0	8.4	7.5	7.3	7.3
Primary deficit	2.4	7.7	5.1	3.7	3.2	2.3	2.2	2.3

Source: Ministry of Finance, Deutsche Bank forecasts

Figure 15: Liability position of the centre and the states

% of GDP	FY15	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
I. Central govt debt	47.1	47.4	45.5	48.9	49.4	52.3	61.5	58.8	57.9	58.1	57.2	57.2
II. State govt debt	21.0	22.5	23.8	25.1	25.3	26.7	31.0	29.1	28.0	27.5	27.5	27.5
III. Central loans to state	1.2	1.1	1.0	3.7	3.2	2.8	3.5	3.6	3.4	3.4	3.3	3.3
IV. Investment in treasury bills by states	1.0	1.2	1.3	1.2	1.0	0.9	1.2	1.3	1.0	1.1	1.1	1.1
General govt debt = I + II - III - IV	65.9	67.6	67.1	69.0	70.4	75.2	87.8	83.0	81.3	81.1	80.3	80.3

Source: Ministry of Finance, Deutsche Bank forecasts

States' debt/GDP was also affected severely, rising from 21% of GDP in FY19 (excluding central loans to states and investment in treasury bills by states) to 26% of GDP by FY21. States' combined fiscal deficit also increased to 4.1% of GDP in FY21, from 2.5% of GDP in FY19. Meanwhile, the **centre's** fiscal deficit increased to 9.2% of GDP in FY21, from 3.4% of GDP in FY19 and debt/GDP worsened to 61.5% of GDP in FY21, from 49.4% of GDP in FY19.



Figure 16: Centre and state fiscal snapshot

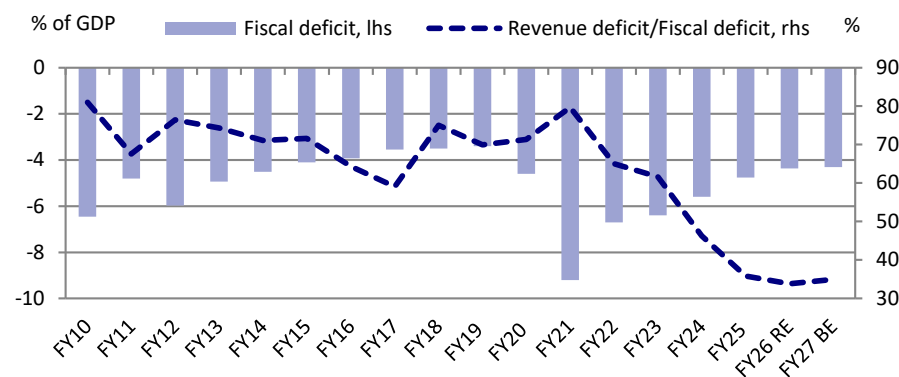
% of GDP	FY22	FY23	FY24	FY25	FY26	FY27F	FY28F
Central government balance	-6.7	-6.4	-5.7	-4.9	-4.4	-4.3	-4.2
Government revenue	9.4	9.0	9.6	9.7	9.9	9.4	9.8
Government expenditure	16.2	15.4	15.3	14.6	14.3	13.8	14.0
Central primary balance	-3.3	-3.0	-2.0	-1.4	-0.8	-0.6	-0.5
Consolidated deficit	-9.5	-9.1	-8.5	-7.7	-7.2	-7.1	-7.0
Memo							
State fiscal deficit	-2.8	-2.7	-2.8	-2.8	-2.8	-2.8	-2.8
Public sector debt/GDP	83.0	81.5	81.1	80.3	80.8	79.8	79.5

Source : Ministry of Finance, Deutsche Bank forecasts

Centre's quality of fiscal spending has improved significantly, but has peaked out

An indicator to track in this regard is the **revenue deficit/fiscal deficit ratio** (lower the ratio, the better). Since FY17 (which recorded a low of 59.1%), this ratio moved up to a peak of nearly 80% in FY21, but it has improved once again and fallen below 40%. Revenue deficit/fiscal deficit moderated to 33.8%, from 35.8% in FY25. Beyond this, we see little scope for this ratio to improve significantly, given that the centre's capex spending allocation is reaching a peak, while it may be difficult to reduce revenue expenditure further as most of these expenditures are by definition "committed expenditure". Indeed, the authorities are targeting a revenue deficit/fiscal deficit ratio of 34.9% in FY27, higher than 33.8% in FY26.

Figure 17: Centre's quality of fiscal consolidation has improved significantly



Source : Various budget documents, RBI, MOF and Deutsche Bank

Short-term fiscal projections

Since the peak deterioration of the fiscal and debt dynamic in FY21, owing to the adverse impact of the Covid-19 pandemic, significant progress has been made on the fiscal front, both at central and state government level.

- **Centre's fiscal deficit** has come down to 4.4% of GDP in FY26 and the government has set a target of 4.3% of GDP for FY27. **Despite the oil-price shock, we think the central government has enough buffers to be able to meet the FY27 fiscal deficit target of 4.3% of GDP.** The below table shows our latest projections for FY27 over the FY26 outturn.



Figure 18: Latest FY27 fiscal projections: Deutsche Bank vs. Government estimates

	Key items	2024-25 Actual	2025-26 RE	2026-27 DB Estimate	2026-27 Budget Estimate	2024-25 Actual	2025-26 RE	2026-27 DB Forecast	2026-27 Budget Estimate	FY26 RE over FY25 Actual	FY27 DB est over FY26 RE	FY27 BE over FY26 RE
S. no		INR bn	INR bn	INR bn	INR bn	% of GDP	% of GDP	% of GDP	% of GDP	% yoy	% yoy	% yoy
1	Revenue Receipts (2+3)	30366	33423	35280	35332	9.55	9.67	9.20	9.0	10.1	5.6	5.7
2	Tax Revenue (Net to Centre)	25000	26747	27840	28669	7.86	7.74	7.26	7.29	7.0	4.1	7.2
3	Non Tax Revenue	5366	6677	7439	6662	1.69	1.93	1.94	1.7	24.4	11.4	-0.2
4	Recovery of Loans	246	302	307	384	0.08	0.09	0.08	0.1	22.6	1.6	27.2
5	Other Receipts (disinvestments)	172	338	499	800	0.05	0.10	0.13	0.2	96.7	47.3	136.4
6	Total Receipts (1+4+5)	30784	34064	36085	36515	9.68	9.86	9.41	9.29	10.7	5.9	7.2
7	Total Expenditure (8+10)	46529	49648	52728	53473	14.63	14.37	13.75	13.61	6.7	6.2	7.7
8	On Revenue Account	36009	38691	41300	41255	11.32	11.20	10.77	10.5	7.4	6.7	6.6
9	of which: Interest Payments	11156	12743	14189	14040	3.51	3.69	3.70	3.6	14.2	11.3	10.2
10	On Capital Account	10520	10958	11428	12218	3.31	3.17	2.98	3.1	4.2	4.3	11.5
11	Revenue Deficit (8-1)	5643	5268	6021	5923	1.77	1.52	1.57	1.51			
12	Fiscal Deficit (7-6)	15744	15585	16643	16958	4.95	4.51	4.34	4.31			
13	Primary Deficit (12 - 9)	4589	2842	2454	2918	1.44	0.82	0.64	0.74			
	<i>Memo item</i>											
14	Nominal GDP, %yoy	318073	345472	383473	393004					8.6	11.0	13.8

Source : Various budget documents and Deutsche Bank

- **States' combined fiscal deficit** is likely to stay steady at 2.8% of GDP, as per our conservative baseline assumption. Prior to Covid, states' fiscal deficit was at 2.4% of GDP and 2.6% of GDP in FY19 and FY20, respectively.
- **General government deficit** is likely to moderate to 7.1% of GDP in FY27, from 8.5% of GDP in FY24.
- **General government debt** is likely to moderate to 79.8% of GDP in FY27, due to higher-than-expected nominal GDP growth, from 80.3% of GDP in FY26.
- **Central government deficit with and without EBR (Extra Budgetary Resources):** Prior to the Covid-19 pandemic, the central government accounted certain Extra Budgetary Resources as off-balance sheet items, which ideally should have been calculated as on-balance sheet expenditure, resulting in a higher-than-reported fiscal deficit. For example, in FY19, when the reported fiscal deficit was 3.4% of GDP, the EBR in that fiscal year was 0.9% of GDP; therefore, incorporating the EBR would have resulted in fiscal deficit rising to 4.3% of GDP. In FY17 and FY18, the reported fiscal deficit was 3.5% of GDP, but adding 0.5% of GDP of EBR for both those years, the augmented fiscal deficit of the central government stood at 4.0% of GDP. Post FY22, the central government has taken all expenditure on balance sheet and the practice of providing off-balance sheet EBR has stopped, in a bid to promote fiscal transparency. We assume that, in the coming years, the centre's fiscal deficit will not fall below 4.0% of GDP, which would be similar to the pre-pandemic low of 4.0% of GDP (after adding 0.50% of GDP worth EBR to the headline fiscal deficit of 3.5% of GDP). Assuming the states' fiscal deficit stabilizes at 2.8% of GDP, this will likely result in general government deficit stabilizing at the current 6.8% of GDP within the forecast horizon.

In the rest of this report, we use our own economic forecasts to present a debt sustainability analysis of the general government to ascertain the medium-term debt/GDP trajectory under various scenarios.

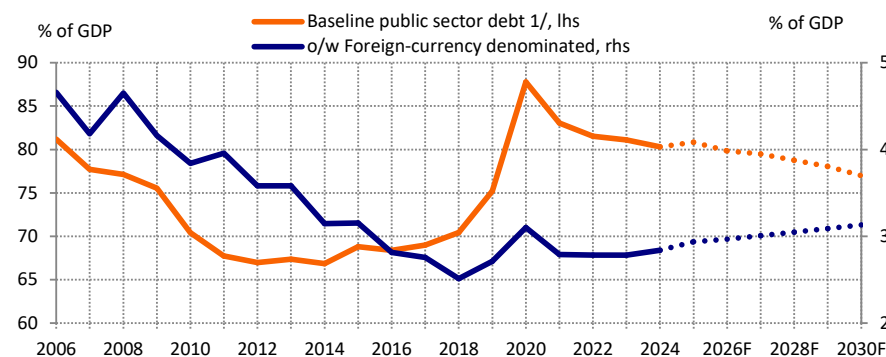


Baseline assumptions and projection

- Real GDP grows around 6.5% average in the rest of this decade (till FY31); nominal GDP growth averages about 10.5-11% during the forecasting period;
- With a flexible inflation targeting framework firmly in place, CPI inflation averages in the 4.0-4.5% range for the rest of this decade; we have assumed GDP deflator (mix of CPI and WPI) to average 4.5% in the years ahead;
- Real interest rate on public debt works out to 2.5% on an average (derived from 7.0% nominal rate and 4.5% GDP deflator-based inflation);
- We assume general government deficit (centre + state) to trough at 6.8% of GDP through the forecasting period, with the centre's fiscal deficit stabilizing around 4.0% of GDP, and 2.8% of GDP in case of states. There is scope for general government deficit to be lowered further beyond this, but we have assumed for now that, given the need for supporting growth through fiscal impulse and accommodating 8th Pay Commission recommended higher wages in the coming years, the combined deficit may not fall significantly below the 7.0% of GDP mark (pre-Covid 10-year average was 6.9% of GDP).
- The primary deficit eases in the period ahead, averaging close to 2.2% of GDP; primary spending rises by 5-6% in real terms, while revenues rise 10.5-11% on an average in nominal terms, in line with the projected nominal GDP growth for the rest of this decade.
- The rupee maintains a depreciation bias in the medium term; but given India's relatively small public external debt burden (2.8-3.0% of GDP), the exchange rate assumption matters little in the debt sustainability exercise.

Under this baseline scenario, public debt is projected to decline to about 75.1% of GDP by 2030 (FY31), from about 80.3% in FY26. This outcome is primarily driven by the assumption that the real growth-real interest rate differential stabilizes at 4-4.5% during the forecasting period. **India's debt burden does not look onerous under this scenario, but the interest cost of servicing the debt remains high during the forecasting period, accounting for 16-16.5% of total consolidated spending (or about a quarter of central government spending).** Given that India needs to ramp up total public spending on key sectors such as health, education and defense, the importance of reducing debt and interest costs is all too apparent.

Figure 19: Baseline Debt/GDP ratio - on a steady downward trajectory



Source : MOF, Deutsche Bank. Note: 1/ Combined Central and State level debt



Problems associated with long-term projections - a cautionary tale

A word of caution - medium-term forecasts are subject to various risks which are difficult to anticipate and therefore the actual outturn could be appreciably different from the projected path. The Covid-19 pandemic is a testimony to this fact. A few years prior to the Covid-19 pandemic in 2020, the central government had formed an expert committee in 2016 to recommend a desirable fiscal and debt consolidation path for India over the medium term.

The FRBM committee recommended the central government continues on the path of fiscal consolidation, with the medium-term goal of bringing the centre's fiscal deficit down to 2.5% of GDP by FY23 (from 3.5% of GDP in FY17), which would result in the centre's debt/GDP coming down to 40% of GDP (from about 49% in FY18). The committee also recommended a desirable fiscal path for the state governments, so that cumulatively the debt/GDP of states can remain constant at around 20% of GDP throughout the forecasting period. This would require state fiscal deficit to reduce from 3.0% of GDP in FY17 - by about 1% of GDP - to 2.0% by FY23. If this was achieved, then India's overall public debt/GDP ratio would have moderated to about 60% of GDP by FY23, a 10% drop from FY18 levels (general government deficit was close to 70% of GDP in FY18).

But then Covid-19 happened in 2020, and the seismic growth shock pushed general government debt/GDP close to 90% in FY21, a 20% increase from FY18 levels. By FY23, public debt moderated but it was still above 81.5% of GDP. India's public debt/GDP is expected to moderate to 75.1% by 2030 (FY30/31), but that will still be higher than the 70% debt/GDP that was recorded in FY18. Or, in other words, a seismic shock like the Covid-19 pandemic set India's debt/ GDP trajectory back by a decade. This is true not just for India, but for most countries around the world.

Figure 20: FRBM committee recommended fiscal target

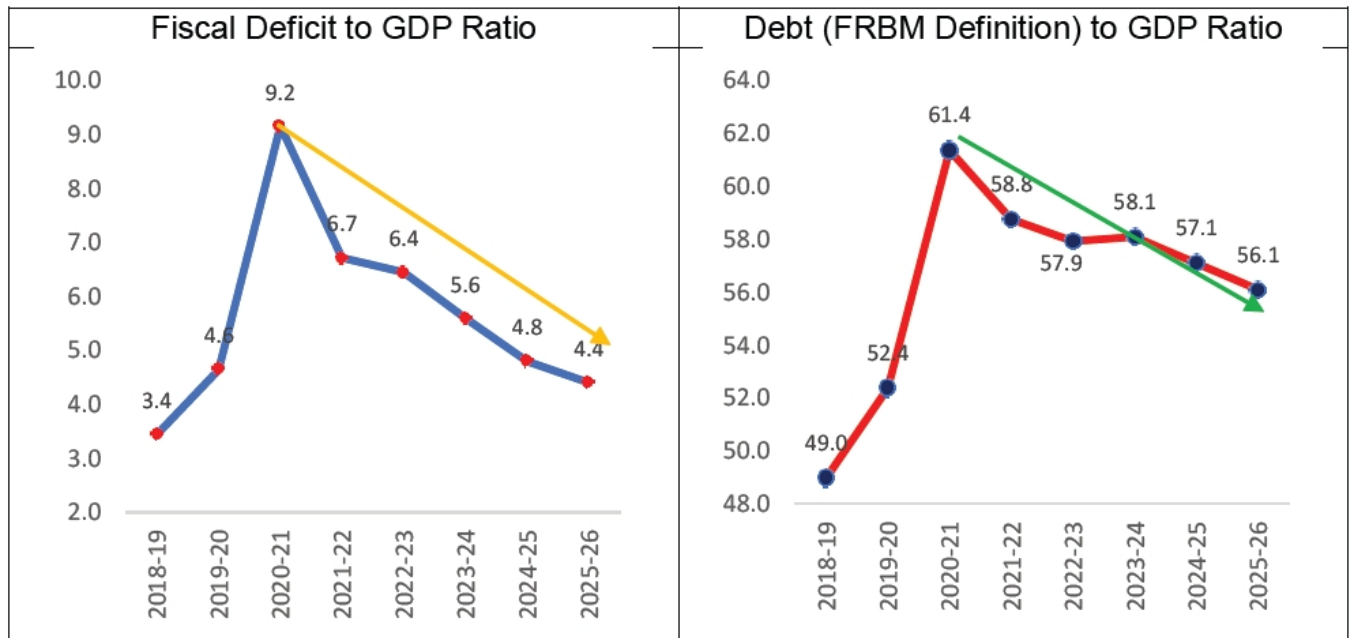
% of GDP	FRBM committee recommended target			DB estimate
	Central govt.	Sate govt. fiscal	General govt.	General govt.
FY17	3.5	3.0	6.5	6.5
FY18	3.0	2.8	5.8	6.2
FY19	3.0	2.7	5.7	6.0
FY20	3.0	2.5	5.5	6.0
FY21	2.8	2.3	5.1	6.0
FY22	2.6	2.2	4.8	6.0
FY23	2.5	2.0	4.5	6.0

Source: FRBM Review Committee Report, Deutsche Bank

Therefore, it is important to recognize that the baseline scenario of debt/GDP projections can easily be derailed, if there is a large growth shock within the forecasting horizon. **The baseline debt/GDP projection does not incorporate any domestic or external shock. But, as has been illustrated vividly through the last decade, India's fiscal regime is vulnerable to various shocks.** It has also been seen that, even after an extended high-growth period, fiscal consolidation proves to be transitory when growth shocks materialize, or an external shock (global tariff shock, for example) weakens the fiscal position indirectly by impacting growth and revenue adversely.

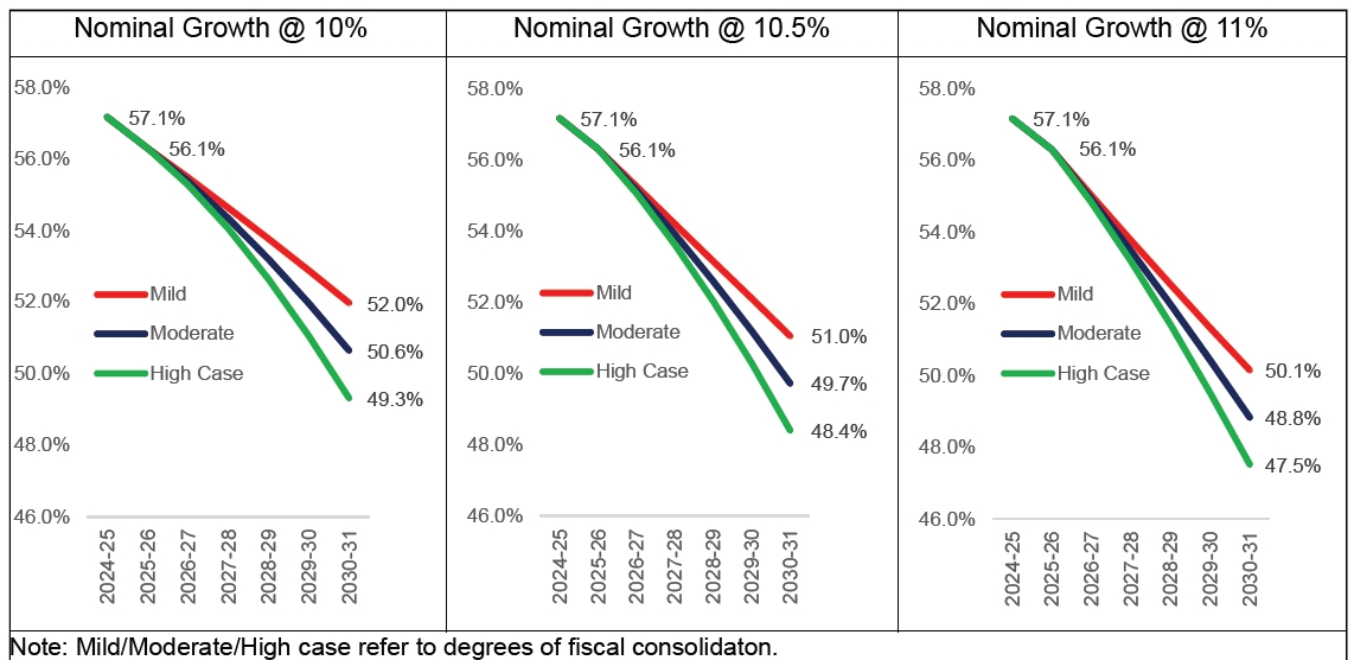


Figure 21: Central government fiscal deficit and debt/GDP



Source : Ministry of Finance - Government of India

Figure 22: Central govt. debt/GDP projection by Ministry of Finance, Government of India



Source : Ministry of Finance



Keeping this in mind, in the rest of this note, **we introduce some shocks to our baseline scenario and see how the projections change** if indeed some of the key macro variables associated with debt dynamic were to take a turn for the worse in the coming years.

Stress Tests

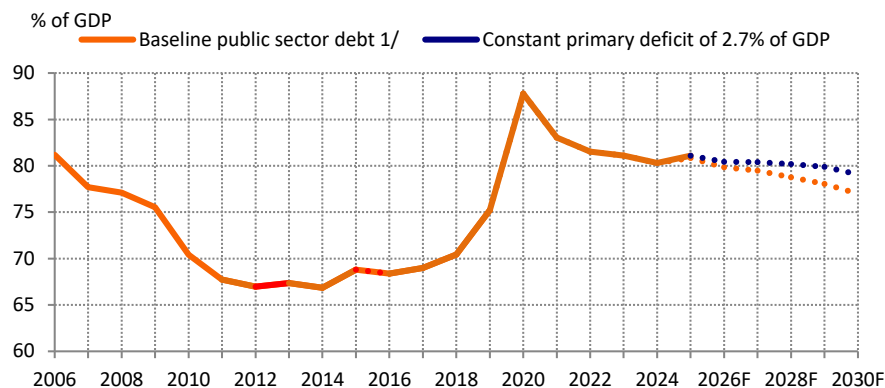
Shock 1: No change in fiscal effort - primary deficit stays around 2.7% of GDP

If the primary deficit stays at around 2.7% of GDP (higher than our baseline assumption of about 2.2% of GDP), and the growth/interest rate nexus discussed above remains in place, India's debt path would still be on downward path, but the **debt/GDP ratio would fall to around 77.3% of GDP by 2030 (FY30/31)**. A flatter path of debt adjustment should be a source of worry as fragility to shocks would rise.

State fiscal finances pose a big risk to the overall fiscal consolidation agenda.

While on an aggregate basis, states' combined fiscal deficit has moderated once again below 3% of GDP (after rising to 4.1% of GDP in FY21 due to the impact of Covid-19), there is a large degree of heterogeneity and vulnerability regarding the fiscal health of certain states, which warrant close monitoring. **The states that would likely remain the most vulnerable to debt sustainability risks are Punjab, West Bengal, Bihar, Rajasthan and Kerala, given their weak fiscal and debt metrics even prior to the Covid-19 crisis, as per our analysis.**

Figure 23: Debt dynamic favorable to achieve decline in debt path even with modest fiscal effort



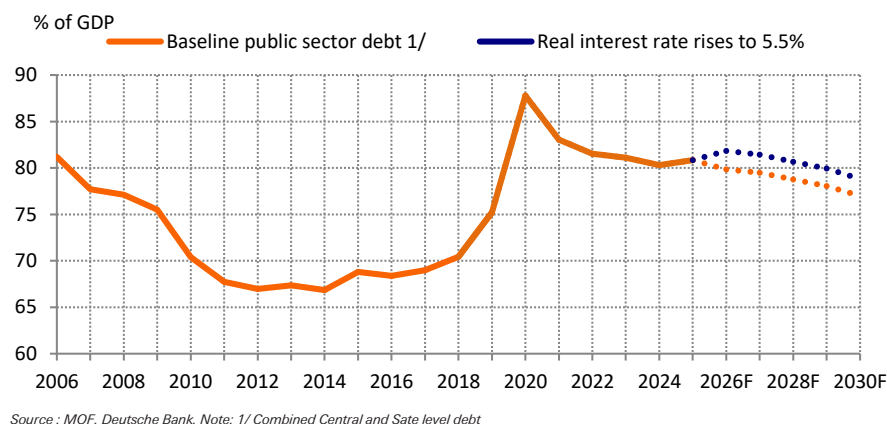
Source : MOF, Deutsche Bank. Note: 1/ Combined Central and State level debt

Shock 2: Interest rate shock - real interest rate rises to about 5.5% on an average

If CPI inflation increases above the 6% upper threshold inflation target range in the years ahead, RBI would be compelled to hike the policy rate, which may increase the real interest rate to mid single digit, when measured in terms of WPI and GDP deflator. Under the interest rate shock scenario, real interest rate paid on public debt is raised by one standard deviation of the past average; **under this scenario, the debt trajectory flattens and debt/GDP comes down only to 76.9% of GDP by FY31 (2030).**



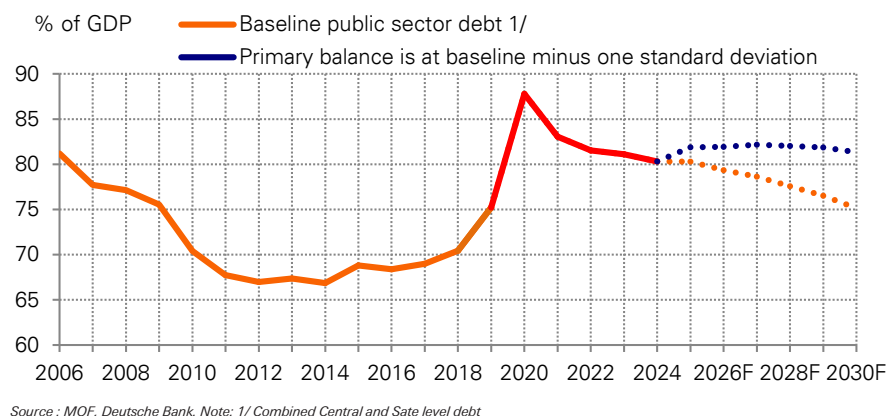
Figure 24: A rise in real interest rate could cause adverse debt dynamic



Shock 3: Fiscal shock - primary deficit rises to 3.5% of GDP within the forecasting period instead of coming down to 2.2% of GDP

If the primary deficit rises to around 3.5% of GDP (higher than our baseline assumption of about 2.2% of GDP), and the growth/interest rate nexus discussed above remains in place, India's debt path would flatten considerably, with the **debt/GDP ratio likely to remain unchanged at about 81.3% of GDP by 2030 (FY31)**.

Figure 25: A fiscal shock will affect the debt dynamic

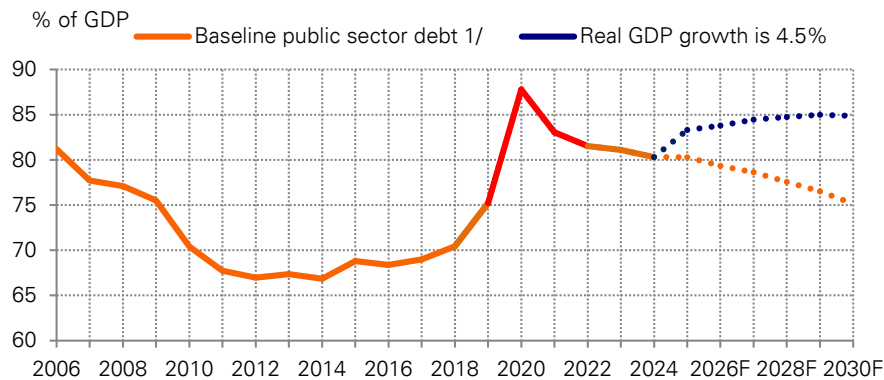


Shock 4: Growth shock - real GDP growth moderates to 4.5%

Here we lower real GDP growth by 200bps, which pegs economic growth to around 4.5%. The shock impacts the debt path severely, **pushing up the debt ratio to 84.9% by FY31 (2030)**, 10% higher than our baseline estimate of debt/GDP falling to 74.8% by the end of this decade. Indeed, the biggest risk to debt sustainability arises from a growth shock, as was witnessed during the time of Covid-19 pandemic. Of course, under such a scenario, interest rates would ease, real rates would fall, but the overall impact of lower growth and presumably higher fiscal deficit would push the general government debt/deficit significantly higher.



Figure 26: Debt sustainability hinges critically on sustained, strong growth



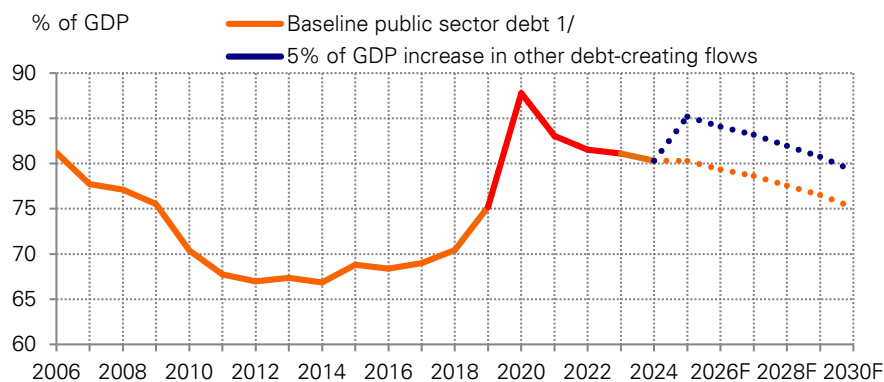
Source : MOF, Deutsche Bank. Note: 1/ Combined Central and State level debt

Shock 5: Contingent liability shock of 5% of GDP

In this scenario, we assume that the government's contingent liabilities would rise suddenly. To account for such a risk, we raise the government's liabilities by 5% of GDP in FY25/26. This first raises the debt/GDP to 85.2% in FY26, thereafter moderating to 79.2% by the end of FY30/31 (2030).

Earlier such risks arose mainly from banking sector NPAs which had deteriorated significantly in the last decade. However, the public sector bank balance sheets have been cleaned up and the NPAs have fallen below 3%, a record low. Now the risk of contingent liabilities arises mostly from state finances. As per RBI data, overall state guarantees amounted to about 3.7% of GDP by FY21. **The guarantees are likely to have moderated to 0.8% of GDP, as per FY23 budget estimate figures are concerned.** If these guarantees (contingent liabilities) are accounted as on balance sheet expenditure at any point of time, then both general-government deficit and debt would go up by a commensurate amount, ceteris paribus.

Figure 27: A one-off increase in liabilities would delay debt reduction



Source : MOF, Deutsche Bank. Note: 1/ Combined Central and State level debt

While the centre has stopped the practice of providing off-balance sheet resources (Extra Budgetary resources or EBR) and now everything is accounted as on-balance sheet expenditure, a similar accounting treatment by states at a later point of time could increase deficit and debt, a non-trivial risk, in our view. Recall that in past years, even before the Covid-19 crisis, a decision to accommodate the interest



burden of the UDAY scheme as an on-balance sheet expenditure item along with the costs of farm loan waivers given by certain states deteriorated the health of the states' fiscal balances materially, a risk which exists even today, given the guarantees that exist in the form of contingent liabilities.

Figure 28: 'Freebies' announced by the states in 2022-23

	% of GSDP	% of Revenue Receipts	% of Own Tax Revenue
Andhra Pradesh	2.1	14.1	30.3
Bihar	0.1	0.6	2.7
Haryana	0.1	0.6	0.9
Jharkhand	1.7	8.0	26.7
Kerala	0.0	0.0	0.1
Madhya Pradesh	1.6	10.8	28.8
Punjab*	2.7	17.8	45.4
Rajasthan	0.6	3.9	8.6
West Bengal	1.1	9.5	23.8

Source : RBI and Deutsche Bank. Note: * Dhasmana, I. (2022). "Not all states are so financially weak that they can't announce freebies". Business Standard. April 2022.

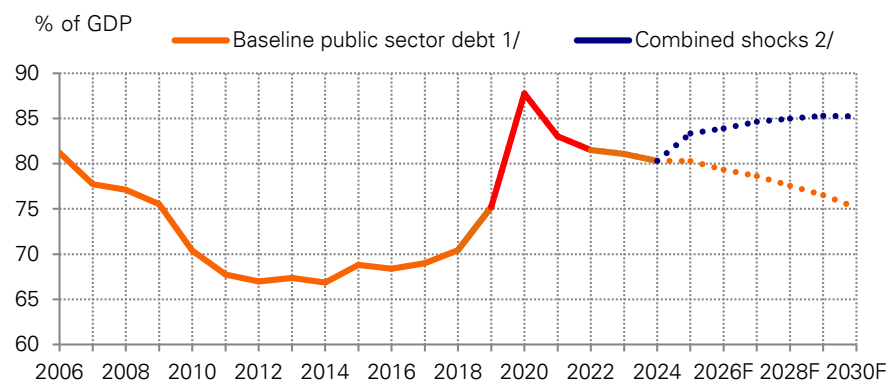
Figure 29: Guarantees issued by State Governments (% of GSDP)

	Bihar	Kerala	Punjab	Rajasthan	West Bengal	Andhra Pradesh	Uttar Pradesh	Haryana
2017-18	1.1	2.5	4.5	7.5	0.9	4.6	6.3	2.2
2018-19	1.0	3.4	0.9	7.6	0.6	6.2	6.9	2.6
2019-20	0.9	3.2	4.1	8.1	0.5	8.1	6.7	2.7
2020-21	2.6	4.6	5.3	8.2	0.6	11.0	7.9	2.3
2021-22 (RE)	3.6	-	5.7	-	1.1	9.8	-	-

Source : RBI and Deutsche Bank. Note: RE refers to revised estimates.

Shock 6: Combined shock - What if shocks were multiple in nature? There could be occasions when a growth shock eventually leads to a fiscal shock which then translates into an interest rate shock. What happens to the debt profile in case of such a combined shock scenario? With this in mind, we construct a scenario incorporating shocks half the size of the ones discussed above but in conjunction with one another. We find that the impact on debt is immediate and unambiguously adverse (the **debt/GDP ratio rises to 85.2% by FY31**). While the probability of such a manifestation is low, it is important to be cognizant of such eventualities.

Figure 30: Debt path can turn higher if hit by multiple shocks



Source : MOF, Deutsche Bank. Note: 1/ Combined Central and State level debt



India's debt servicing ability remains healthy

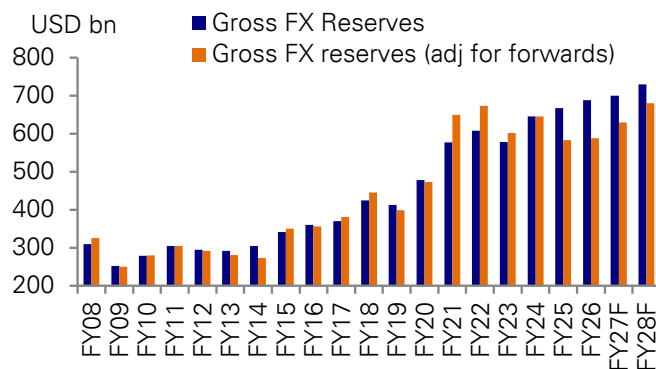
As our exercise shows, public debt/GDP is likely to be on a sustained downtrend due to positive growth-interest differential and there is little risk associated with the funding of the public debt as bulk of the debt is in domestic currency. Foreign currency denominated debt is small - less than 5% of GDP - and even within that more than half of it is owed to multilateral institutions.

India's macro outlook - both in the short and medium term - remains bright, with likelihood of sustained strong growth outperformance amidst anchored inflation, positive real rates, continued fiscal consolidation, healthy external and domestic financial sector and expected macro dividend from ongoing supply-side reforms. As our exercise shows, public debt/GDP seems likely to be on a sustained downtrend due to positive growth-interest differential and there is little risk associated with the funding of the public debt as bulk of the debt is in domestic currency.

Our analysis reveals that, despite GST rates rationalisation of 2025 and an oil price shock this year, **it is possible for India to lower its debt/GDP to 75.1% of GDP by FY31**, provided nominal GDP growth averages around 10.5-11% during the forecasting period. In our view, barring some unforeseen shocks, a 10.5-11% nominal GDP growth assumption is realistic based on an average 6.5% real GDP growth and 4-4.5% inflation (in terms of GDP deflator) over the forecasting period.

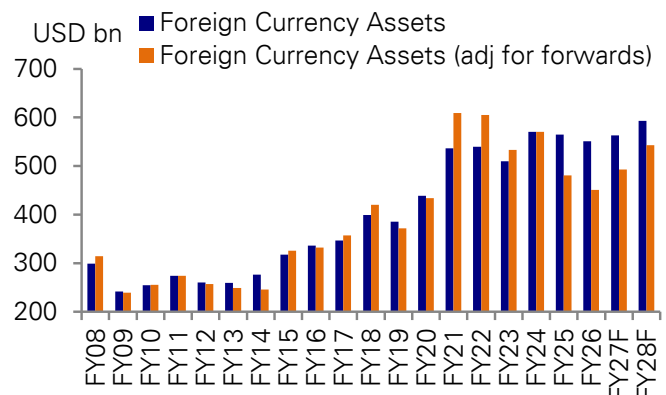
Our forecast is similar to IMF's estimate, which sees India's public sector debt/GDP moderating to 75.4% by 2031 (see, "[Staff Report for the 2025 Article IV Consultation for India](#)", Nov 2025), but is slightly higher compared to RBI's forecast of 73.4% over the same forecasting horizon (see, "[The Shape of Growth Compatible Fiscal Consolidation](#)", Feb 2024).

Figure 31: Gross Foreign Exchange Reserves



Source : CEIC, RBI and Deutsche Bank. Note: FY27,28 F refer to DB forecasts.

Figure 32: Foreign Currency Assets



Source : CEIC, RBI and Deutsche Bank. Note: FY27,28 F refer to DB forecasts.



Figure 33: India's key external debt (% unless indicated otherwise)

End-March	External Debt (US\$ billion)	Ratio of External Debt to GDP	Debt Service Ratio	Ratio of Foreign Exchange Reserves to Total Debt	Ratio of Concessional Debt to Total Debt	Ratio of Short-Term Debt to Foreign Exchange Reserves	Ratio of Short-Term Debt (original maturity) to Total Debt
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
1991	83.8	28.3	35.3	7.0	45.9	146.5	10.2
1996	93.7	26.6	26.2	23.1	44.7	23.2	5.4
2001	101.3	22.1	16.6	41.7	35.4	8.6	3.6
2006	139.1	17.1	10.1 [#]	109.0	28.4	12.9	14.0
2007	172.4	17.7	4.7	115.6	23.0	14.1	16.3
2008	224.4	18.3	4.8	138.0	19.7	14.8	20.4
2009	224.5	20.7	4.4	112.2	18.7	17.2	19.3
2010	260.9	18.5	5.8	106.9	16.8	18.8	20.1
2011	317.9	18.6	4.4	95.9	14.9	21.3	20.4
2012	360.8	21.1	6.0	81.6	13.3	26.6	21.7
2013	409.4	22.4	5.9	71.3	11.1	33.1	23.6
2014	446.2	23.9	5.9	68.2	10.4	30.1	20.5
2015	474.7	23.8	7.6	72.0	8.8	25.0	18.0
2016	484.8	23.4	8.8	74.3	9.0	23.2	17.2
2017	471.0	19.8	8.3	78.5	9.4	23.8	18.7
2018	529.3	20.1	7.5	80.2	9.1	24.1	19.3
2019	543.1	19.9	6.4	76.0	8.7	26.3	20.0
2020	558.3	20.9	6.5	85.6	8.8	22.4	19.1
2021	573.4	21.1	8.2	100.6	9.0	17.5	17.6
2022	618.8	19.9	5.2	98.1	8.3	20.0	19.7
2023	623.9	19.1	5.3	92.7	8.2	22.2	20.6
2024 PR	668.9	19.2	6.7	96.6	7.4	19.7	19.1
2025 PR	736.4	19.8	6.6	90.8	6.9	20.1	18.3
end-June 2025 PR	746.8	19.7	6.6	93.5	7.1	19.3	18.0
end-September 2025 PR	747.2	20.1	6.0	93.7	7.0	19.7	18.5
end-December 2025 P	765.5	20.4	5.8	89.8	6.7	21.9	19.7

Source : RBI. Note: PR: Partially Revised; P: Provisional. #: Works out to 6.3 per cent with the exclusion of India Millennium Deposits (IMDs) repayments of US\$ 7.1 billion and pre-payment of external debt of US\$ 23.5 million. Note 1: Figures are rounded to one decimal place. Note 2: Ratio of external debt to GDP from end March 2024 (P) onwards is based on the new GDP series (Base Year: 2022/23)



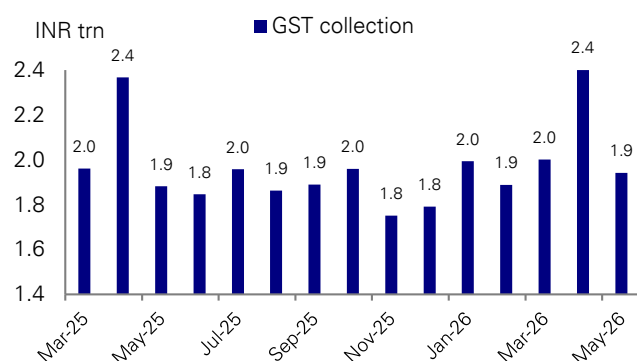
Appendix A: Tax collection trend

Figure 34: Monthly tax collection trend including Apr'26 (% yoy)

Revenue receipts, %yoy	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	FY25	FY26
Gross Tax Revenue	8.4	13.8	-2.8	32.4	10.1	-19.2	2.1	-1.9	9.6	6.0
Corporate Tax	0.2	76.4	61.2	22.7	180.8	-96.2	7.7	17.4	8.3	11.4
Income Tax	33.7	26.9	5.8	-9.2	12.6	-45.2	-4.3	6.8	17.0	0.0
Central Goods and Service Tax	8.9	8.1	0.7	6.9	10.6	5.9	10.5	37.7	10.8	6.4
Union Territories Goods and Service Tax	56.5	61.6	253.5	72.1	31.3	90.1	-51.6	268.1	7.2	32.5
Goods and Service Tax Compensation Cess	-5.5	-39.7	-70.3	-55.1	-57.5	-63.5	-100.2	-101.5	6.5	-33.4
Customs	29.0	13.4	-36.3	229.7	19.7	50.9	-19.7	25.0	0.1	13.4
Union Excise Duties	10.3	6.9	17.5	14.6	10.9	23.4	26.5	-1246.2	-1.7	13.9
Service Tax	-145.2	12300.0	-322.2	-51.7	-110.3	-15850.0	1050.0	115.4	-103.5	11726.7
Other Taxes	-33.0	-53.2	-33.0	4.1	11.2	39.4	19.8	66.6	5.8	-14.5
Less: Transfer to state	14.1	14.0	14.1	14.0	-41.3	19.0	19.0	7.4	13.9	8.1
Net Tax Revenue	7.1	12.9	-13.6	36.5	156.1	-54.5	-1.3	-5.9	7.5	4.9
Memo item										
Direct tax	11.0	41.7	19.3	10.7	33.1	-53.8	2.1	8.6	12.9	5.2
Indirect tax	1.5	-5.0	-19.4	96.7	-3.1	6.9	2.2	-11.6	5.4	7.1

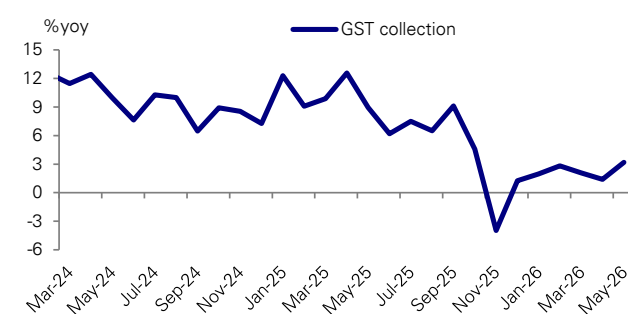
Source : Controller General of Accounts and Deutsche Bank

Figure 35: Monthly GST collection - INR trn



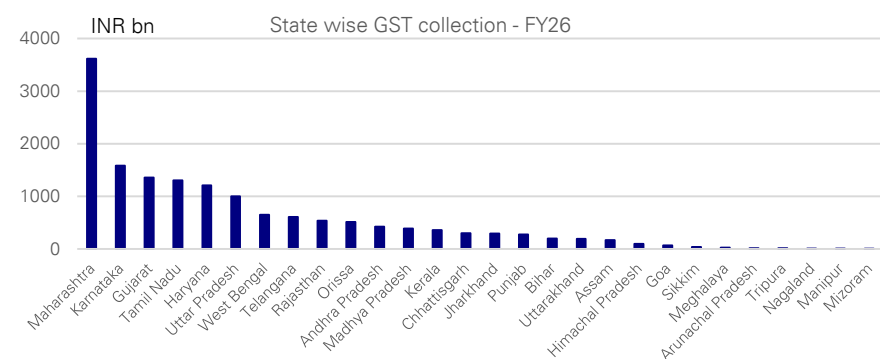
Source : CEIC and Deutsche Bank

Figure 36: Monthly GST collection - %yoy



Source : CEIC and Deutsche Bank

Figure 37: State-wise GST collection - FY26 (INR bn)



Source : CEIC and Deutsche Bank



Appendix B: A snapshot of state fiscal finances

Figure 38: Ranking of 17 key states based on FY26 BE

States	Ranking based on FY26 budget estimates	10 year SDL yield (%)						Fiscal deficit	Own tax revenue	Debt	Interest payment to revenue receipts
		2020-21	2021-22	2022-23	2023-24	2024-25	2025-26	% of GSDP	% of GSDP	% of GSDP	%
Maharashtra	1	7.0	6.8	7.9	-	-	-	2.8	7.8	19	11.5
Jharkhand	2	6.8	6.9	-	-	-	-	2.0	6.3	25	5.1
Telangana	3	7.0	-	-	-	-	-	3.0	8.1	28	8.4
Uttar Pradesh	4	6.9	7.0	-	-	-	7.5	3.0	9.6	29	9.7
Orissa	5	-	-	-	-	-	-	3.2	6.2	20	2.8
Chhattisgarh	6	-	-	-	-	-	-	3.8	8.5	30	6.7
Gujarat	7	6.7	7.0	7.8	-	-	7.4	2.0	5.3	18	12.4
Karnataka	8	6.6	7.0	-	-	-	7.4	2.9	6.8	27	15.6
Haryana	9	7.4	7.0	7.8	7.4	-	-	2.7	6.8	30	20.5
Tamil Nadu	10	6.7	7.0	7.8	-	7.4	7.4	3.0	6.2	29	20.8
Bihar	11	-	7.2	-	-	-	-	3.0	5.4	37	8.8
Madhya Pradesh	12	6.9	6.9	7.9	7.4	7.4	-	4.7	6.4	31	9.8
Rajasthan	13	6.7	7.0	7.8	7.4	-	-	4.3	7.2	36	13.6
Kerala	14	7.2	7.1	-	-	-	-	3.2	6.4	36	20.9
Punjab	15	6.8	7.0	7.9	-	-	-	3.8	7.1	46	22.4
Andhra Pradesh	16	6.5	-	7.7	7.4	-	-	4.4	6.0	35	16.1
West Bengal	17	6.7	7.1	7.8	-	-	-	3.6	5.5	49	18.3
Avg. of 17 states		6.8	7.0	7.8	7.4	7.4	7.4	3.4	6.8	32.0	13.8

Source : RBI, Various state budget documents and Deutsche Bank.

Figure 39: Fiscal ranking of states over time

States	Rank based on 2004-08 avg. fiscal data	Rank based on 2008-10 avg. fiscal data	Rank based on FY13 fiscal data	Rank based on FY14 fiscal data	Rank based on FY15 fiscal data	Rank based on FY16 fiscal data	Rank based on FY18 fiscal data	Rank based on FY19 fiscal data	Rank based on FY20 fiscal data	Rank based on FY21 fiscal data	Rank based on FY22 fiscal data	Rank based on FY23 fiscal data	Rank based on FY24 fiscal data	Rank based on fiscal data b/w 2004 to 2016	States
Maharashtra	6	6	1	2	4	4	1	1	1	2	2	-	1	1	Karnataka
Chhattisgarh	4	1	4	10	2	1	2	3	9	3	1	1	9	2	Tamil Nadu
Orissa	8	4	2	7	9	6	3	4	10	1	3	-	2	3	Chhattisgarh
Karnataka	1	3	5	1	1	2	4	5	2	7	7	2	4	4	Maharashtra
Uttar Pradesh	14	16	10	12	14	15	5	2	3	4	11	4	7	5	Orissa
Goa	11	13	12	13	10	12	6	8	-	-	-	-	-	6	Andhra Pradesh
Gujarat	9	10	7	9	6	8	7	6	5	6	5	3	5	7	Madhya Pradesh
Tamil Nadu	3	2	3	3	3	3	8	7	6	12	12	-	12	8	Gujarat
Madhya Pradesh	10	7	8	5	5	7	9	10	7	9	10	-	10	9	Haryana
Haryana	2	14	11	8	11	13	10	9	15	10	9	7	3	10	Jharkhand
Rajasthan	13	12	9	14	15	17	11	15	14	16	14	-	13	11	Punjab
Kerala	7	8	16	16	13	9	12	12	8	13	15	6	11	12	Kerala
Bihar	15	15	15	15	17	10	13	13	12	11	13	11	17	13	Goa
Punjab	12	11	14	11	8	11	14	17	16	17	17	10	15	14	Rajasthan
Andhra Pradesh	5	5	6	4	12	5	15	14	13	14	8	8	16	15	Uttar Pradesh
West Bengal	16	17	17	17	16	16	16	16	17	15	16	9	14	16	Bihar
Jharkhand	17	9	13	6	7	14	17	11	11	8	4	5	8	17	West Bengal

Source : Deutsche Bank



Figure 40: Fiscal ranking of states based on FY24 actual data & comparison with FY25 RE and FY26 BE (best to worst)

States	Ranking based on FY24 actual fiscal data	Ranking based on FY25 revised estimates	Ranking based on FY26 budget estimates
Maharashtra	1	1	1
Orissa	2	4	5
Jharkhand	3	2	2
Gujarat	4	5	7
Karnataka	5	8	8
Uttar Pradesh	6	7	4
Chhattisgarh	7	6	6
Telangana	8	3	3
Madhya Pradesh	9	11	12
Haryana	10	9	9
Kerala	11	13	14
Tamil Nadu	12	10	10
Bihar	13	14	11
Rajasthan	14	12	13
Andhra Pradesh	15	15	16
West Bengal	16	17	17
Punjab	17	16	15

Source : Various state budget documents and Deutsche Bank. Note: RE refers to revised estimates and BE refers to budget estimates.

Figure 41: Fiscal snapshot of states

States	Ranking based on FY24 actual fiscal data	2023-24 Actuals				2024-25 RE				2025-26 BE			
		Fiscal deficit (% of GSDP)	Own tax revenue (% of GSDP)	Debt (% of GSDP)	Interest payment to revenue receipts (%)	Fiscal deficit (% of GSDP)	Own tax revenue (% of GSDP)	Debt (% of GSDP)	Interest payment to revenue receipts (%)	Fiscal deficit (% of GSDP)	Own tax revenue (% of GSDP)	Debt (% of GSDP)	Interest payment to revenue receipts (%)
Maharashtra	1	2.2	7.5	18.5	10.6	2.9	8.1	18.6	10.2	2.8	7.8	19.0	11.5
Orissa	2	1.7	6.3	19.7	2.9	3.1	6.3	20.6	2.6	3.2	6.2	20.3	2.8
Jharkhand	3	1.4	6.1	27.2	7.8	2.3	6.7	25.5	6.5	2.0	6.3	25.4	5.1
Gujarat	4	1.0	5.5	18.3	12.2	1.9	5.5	17.8	12.4	2.0	5.3	17.9	12.4
Karnataka	5	2.6	6.4	25.3	13.2	2.9	6.3	25.4	14.2	2.9	6.8	26.5	15.6
Uttar Pradesh	6	3.2	7.5	30.9	10.1	3.4	7.6	30.0	9.8	3.0	9.6	28.7	9.7
Chhattisgarh	7	5.3	7.6	27.3	6.6	5.3	8.1	29.2	7.4	3.8	8.5	29.8	6.7
Telangana	8	3.4	7.6	27.0	14.4	2.9	8.0	27.3	8.8	3.0	8.1	27.5	8.4
Madhya Pradesh	9	3.3	6.7	30.1	9.9	4.2	6.4	30.8	10.3	4.7	6.4	31.3	9.8
Haryana	10	2.9	6.7	31.3	21.3	2.7	6.8	30.2	21.9	2.7	6.8	29.9	20.5
Kerala	11	3.0	6.5	36.3	21.7	3.5	6.4	36.2	22.4	3.2	6.4	35.5	20.9
Tamil Nadu	12	3.3	6.1	31.0	20.2	3.3	6.2	27.3	20.5	3.0	6.2	29.2	20.8
Bihar	13	4.2	5.7	38.7	9.1	9.2	5.6	38.0	8.4	3.0	5.4	36.8	8.8
Rajasthan	14	4.3	6.2	37.4	16.8	4.1	7.1	37.0	14.9	4.3	7.2	35.9	13.6
Andhra Pradesh	15	4.4	6.0	34.6	17.0	4.6	6.0	35.5	17.6	4.4	6.0	35.4	16.1
West Bengal	16	3.3	5.4	39.7	21.3	4.0	5.5	40.0	20.3	3.6	5.5	48.9	18.3
Punjab	17	4.4	6.3	46.5	25.3	4.5	7.2	46.9	23.1	3.8	7.1	46.4	22.4
Avg. of 17 states		3.2	6.5	30.6	14.1	3.8	6.7	30.4	13.6	3.3	6.8	30.8	13.1
All States and UTs		2.9	6.5	28.1	12.9	3.5	6.8	28.4	12.3	3.3	7.1	29.2	12.2

Source : Various state budget documents and Deutsche Bank. Note: RE refers to revised estimates and BE refers to budget estimates.



Annexure: Credit ratings methodology

Figure 42: Moody's credit ratings methodology

Sovereign Bond Ratings Sector Scorecard Overview

Factor	Sub-factor	Sub-factor Weighting	Metric/Sub-sub-factor	Metric / Sub-sub-Factor Weighting
Factor: Economic Strength	Growth Dynamics	35%	Average Real GDP Growth $t-4$ to $t+5$	25%
			Volatility in Real GDP Growth $t-9$ to t	10%
	Scale of the Economy	30%	Nominal GDP (US\$ bn) t	30%
	National Income	35%	GDP per Capita (PPP, Int. USD) t	35%
	Adjustment to Factor Score	0 - 9 notches	Other	
Factor: Institutions and Governance Strength	Quality of Institutions	40%	Quality of Legislative and Executive Institutions	20%
			Strength of Civil Society and the Judiciary	20%
	Policy Effectiveness	60%	Fiscal Policy Effectiveness	30%
			Monetary and Macroeconomic Policy Effectiveness	30%
	Adjustment to Factor Score	0 - 3 notches	Government Default History and Track Record of Arrears	
		0 - 3 notches	Other	
Factor: Fiscal Strength	Debt Burden	50% ¹	General Government Debt / GDP t	25%
			General Government Debt / Revenue t	25%
	Debt Affordability	50% ¹	General Government Interest Payments / Revenue t	25%
			General Government Interest Payments / GDP t	25%
	Adjustments to Factor Score	0 - 6 notches	Debt Trend $t-4$ to $t+1$	
			General Government Foreign Currency Debt / General Government Debt t	
			Other Non-Financial Public Sector Debt / GDP t	
			Public Sector Financial Assets and Sovereign Wealth Funds / General Government Debt t	
		0 - 3 notches	Other	
Factor: Susceptibility to Event Risk	Political Risk	Minimum Function ²	Domestic Political and Geopolitical Risk	
	Government Liquidity Risk	Minimum Function ²	Ease of Access to Funding	
			0 - 2 scoring categories	Adjustment to Sub-factor Score High Refinancing Risk
	Banking Sector Risk	Minimum Function ²	Risk of Banking Sector Credit Event (BSCE)	
			Total Domestic Bank Assets / GDP t	
	External Vulnerability Risk	Minimum Function ²	0 - 2 scoring categories	Adjustment to Sub-factor Score
			External Vulnerability Risk	
	Adjustment to Factor Score	0-2 scores	0 - 2 scoring categories	Adjustment to Sub-factor Score

Source : Economic Survey 2020-21, Volume 1



Figure 43: Fitch's credit ratings methodology

Analytical pillar	Structural features	Macroeconomic performance, policies & prospects	Public finances	External finances
SRM weights (%)	53.7	10.9	18.0	17.4
SRM variables	Measure	Impact	Weight (%)	Coefficient
Governance indicators	Latest	Positive	20.4	0.075
GDP per capita	Latest	Positive	12.3	0.040
Share in world GDP	Latest	Positive correlation with size	13.2	0.607
Years since default or restructuring event	Latest	Negative	6.4	-2.481
Broad money supply (% of GDP)	Latest	Positive	1.4	0.185
Overall weight in SRM			53.7	
SRM variables (%)	Measure	Impact	Weight (%)	Coefficient
Real GDP growth volatility	Latest	Negative	4.9	-0.767
Consumer price inflation	3-year centred average	Negative	3.1	-0.056
Real GDP growth	3-year centred average	Positive	2.9	0.093
Overall weight in SRM			10.9	
SRM variables	Measure	Impact	Weight (%)	Coefficient
Gross general govt debt/GDP	3-year centred avg	Negative	8.0	-0.021
General govt interest (% of revs)	3-year centred avg	Negative	4.7	-0.046
General govt fiscal bal./GDP	3-year centred avg	Directional	3.0	0.055
FC govt debt/gross govt debt (%)	3-year centred avg	Negative	2.4	-0.006
Overall weight in SRM			18.0	
SRM variables	Measure	Impact	Weight (%)	Coefficient
Reserve currency flexibility	Latest	Positive	7.8	0.551
Sovereign net foreign assets (% of GDP)	3-year centred avg.	Positive	6.7	0.011
Commodity dependence	Latest	Negative	0.8	-0.003
Foreign exchange reserves (months of CXP) ^a	Latest	Positive	1.3	0.027
External interest service (% of CXR)	3-year centred avg.	Negative	0.7	-0.012
Current account balance + foreign direct investment (% of GDP)	3-year centred avg.	Directional	0.2	0.002
Overall weight in SRM			17.4	

Source : Economic Survey 2020-21, Volume 1



Appendix 1

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